

even the changes in portfolio values should be regarded as ordinary rather than extraordinary elements in the year's report. Certainly a study confined to the interest and dividend receipts less expenses would prove of negligible value. If *any* useful results can be expected from an analysis of investment-trust exhibits, such analysis must clearly be based on the three items: investment income, profits or losses on the sale of securities and changes in market values. It is equally obvious that the gain or shrinkage, so computed, in any one year is no indication whatever of *earning power* in the recurrent sense. Nor can an average taken over several years have any significance for the future unless the results are first compared with some appropriate measure of general market performance. Assuming that an investment trust has done substantially better than the relevant "average," this is of course a *prima facie* indication of capable management. But even here it would be difficult to distinguish confidently between superior ability and luckier guesses on the market.

The gist of this critique is twofold: (1) the over-all change in principal value is the only available measure of investment-trust performance, but (2) this measure cannot be regarded as an index of "normal earning power" in any sense analogous to the recorded earnings of a well-entrenched industrial business.⁵

Similar Problem in the Case of Banks and Insurance Companies. A like problem is involved in analyzing the results shown by insurance companies and by banks. Public interest in insurance securities is concentrated largely upon the shares of fire insurance companies. These enterprises represent a combination of the insurance business and the investment-trust business. They have available for investment their capital funds plus substantial amounts received as premiums paid in advance. Generally speaking, only a small portion of these funds is subject to legal restrictions as regards investment, and the balance is handled in much the same way as the resources of the investment trusts. The underwriting business as such has rarely proved highly profitable. Frequently it shows a deficit, which is offset, however, by interest and dividend income. The profits or losses shown on security operations, including changes in their market value, exert a predominant influence upon the public's attitude toward

⁵ See Appendix Note 47 for a summary of the findings of the S.E.C. in its investigation of management investment-trust performance and for further comment by the authors concerning the record and practices of management investment trusts.